

01

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Pillar One

Legislative and Regulatory Challenges

Challenge no.

01.1

Aligning subsidy programmes with economic variables to ensure sustainability.

🔗 Key Background/Justification: Fluctuations in financing costs and market dynamics require flexibility to ensure sustainability and direct support to eligible groups.

🔍 Solution

Periodic review of the subsidy matrix and targeting frameworks, and escalating necessary matters to governance.

🎯 Impact

Achieving more efficient and sustainable support with better direction to eligible groups.

📋 Decision/Required Support

Aligning and updating targeting criteria, the subsidy matrix, and support limits in accordance with economic variables.

🚀 Decision Type

Directing and adopting policies at the level of the financing ecosystem.

🏢 Entity Responsible for Providing Support

Housing Ecosystem

Complexity of contractual obligations and multiple parties (REDF – Financier – Beneficiary)

🔗 Key Background/Justification: The involvement of multiple parties increases the risk of discrepancy and disputes; standardising requirements reduces complaints and enhances transparency.

🔍 Solution

Standardising contract templates and enhancing the clarity of obligations, notification mechanisms, and verification processes.

🎯 Impact

Achieving more efficient and sustainable support with better direction to eligible groups.

📋 Decision/Required Support

Standardising minimum contract requirements, disclosure, and compliance among all participating financiers.

🚀 Decision Type

Standardised regulation/standard for the financing market.

🏢 Entity Responsible for Providing Support

Housing Ecosystem Financial Partners, Saudi Central Bank (SAMA).

Challenge no.

01.2

02

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Pillar Two

Financial Challenges

Challenge no.

02.1

Fluctuation of financing costs and its reflection on purchasing power.

🔗 Key Background/Justification: Financing cost fluctuations may weaken homeownership capability; facilities maintain purchasing power and reduce withdrawal rates.

🔍 Solution

Designing progressive and flexible support tools, activating financing partnerships, and improving targeting.

🎯 Impact

Enhancing housing affordability and reducing beneficiary sensitivity to rising financing costs.

📋 Decision/Required Support

Providing solutions to mitigate the financing burden (designing products/progressive support) and appropriate financing facilities for eligible groups.

🚀 Decision Type

Sector-level financing arrangements/packages (External).

🏢 Entity Responsible for Providing Support

Housing Ecosystem, Housing Ecosystem Financial Partners.

Credit default risks for certain segments.

🔗 Key Background/Justification: Strengthening credit risk management tools and ensuring the sustainability of real estate financing.

🔍 Solution

Activating guarantee tools in accordance with regulatory frameworks to enhance bankability and mitigate risks.

🎯 Impact

Achieving higher inclusivity while controlling risks and improving portfolio quality.

📋 Decision/Required Support

Supporting and enabling guarantee tools to enhance bankability and mitigate risks.

🚀 Decision Type

Regulating and tstrengthening credit risk management controls.

🏢 Entity Responsible for Providing Support

Housing Ecosystem

Challenge no.

02.2

03

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Pillar Three

Procedural and Operational Challenges

Challenge no.

03.1

Difficulty in accelerating the beneficiary journey and reducing service turnaround time.

🔗 Key Background/Justification: Reducing operational friction requires integration between parties to accelerate procedures and enhance service quality.

🔍 Solution

Expanding digital channels and services, simplifying procedures, and increasing commitment to Service Level Agreements (SLAs).

🎯 Impact

Improving the beneficiary experience and increasing operational productivity.

📋 Decision/Required Support

Digital integration, data exchange, and operational linking with partners to reduce processing time and standardise service levels.

🚀 Decision Type

Collaborative enablement/integration between ecosystem entities (External).

🏢 Entity Responsible for Providing Support

Relevant Government/ Digital Entities, Financing Entities, and Technical Partners (Integration and SLA Compliance).